

Australian Ethical Investment

ESG Impact Report 2025 Measuring Real-World Outcomes

December 2025

Issued by: Australian Ethical Investment Limited

SAMPLE DOCUMENT FOR DEMONSTRATION PURPOSES ONLY. This document contains synthetic data inspired by publicly available information and does not constitute financial advice.

About This Report

This report presents the environmental, social, and governance outcomes of Australian Ethical's investment activities for the financial year ended 30 June 2025. Impact metrics follow the Impact Management Project (IMP) framework and are independently assured by Deloitte.

Australian Ethical has been a UNPRI signatory since 2007 and received an A+ rating for Strategy & Governance in the most recent PRI assessment. The firm is a founding signatory to the Net Zero Asset Managers Initiative and reports annually under the TCFD framework.

ESG Integration -- How We Invest

ESG integration at Australian Ethical is not a separate overlay -- it is the core of our investment philosophy, mandated by the Australian Ethical Charter since 1986.

Ethical Scoring Framework

Every potential and existing investment is assessed using our proprietary Ethical Scoring framework across 23 impact categories. The framework evaluates both positive contributions (benefits) and negative impacts (harms).

Scoring methodology: Each company is scored from -10 (severe harm) to +10 (transformative positive impact) across relevant categories. Only companies with a positive net score are eligible for investment. The scoring is conducted by the dedicated Ethics Research team (3 specialists) and reviewed by the independent Ethics Advisory Committee.

Screening Results (FY2025)

Universe screened	~4,500 global companies
Excluded (Charter breach)	~1,800 companies (40%)
Eligible universe	~2,700 companies
Currently invested	~320 companies

Environmental Impact

Climate

Portfolio carbon intensity	52 tCO ₂ e/\$M revenue
Benchmark carbon intensity	148 tCO ₂ e/\$M revenue
Carbon intensity reduction	-65% vs benchmark
Fossil fuel exposure	0% (zero)
Renewable energy invested	AUD 1.2 billion
Clean energy capacity funded	1,840 MW
CO₂ avoided (renewable inv.)	2.3 million tonnes p.a.

Biodiversity

Deforestation-free portfolio	Yes (verified)
TNFD-aligned disclosure	Published 2024
Biodiversity-positive inv.	AUD 280 million

Social Impact

Healthcare companies invested	AUD 890 million
Education companies invested	AUD 340 million
Affordable housing funded	AUD 120 million
Financial inclusion invest.	AUD 210 million

Our social impact extends beyond direct investments. Through active engagement, we have:

- Advocated for improved modern slavery disclosure at 28 companies
- Pushed for gender diversity targets at 15 companies (12 adopted)
- Engaged on Indigenous reconciliation with 8 Australian companies

Governance & Stewardship

Proxy Voting (FY2025)

Resolutions voted	4,218 (100% of eligible)
Voted against management	24%
Remuneration: against	38%
Board composition: against	22%
Climate resolutions: for	100%

Engagement

Companies engaged	92
Engagement topics	148
Shareholder resolutions filed	3 (all climate)

Key engagement themes in FY2025: climate transition plans, nature/biodiversity commitments, supply chain labour standards, executive remuneration alignment with sustainability targets, and tax transparency.

Engagement Outcomes

Of 148 engagement topics, 43 (29%) resulted in positive company action within FY2025. Key wins included:

- 4 companies adopted science-based climate targets following our engagement
- 3 companies improved modern slavery reporting
- 2 companies linked executive remuneration to emissions reduction targets

Exclusions & Negative Screening

Companies excluded from the portfolio under the Charter:

Absolute Exclusions (zero tolerance)

- Controversial weapons, cluster munitions, nuclear weapons
- Tobacco manufacturing
- Live animal export
- Old-growth logging
- Intensive factory farming

Revenue-Based Exclusions

Fossil fuel extraction	>0% revenue
Fossil fuel power gen.	>10% revenue
Gambling	>5% revenue
Alcohol manufacturing	>10% revenue
Pornography	>0% revenue
Predatory lending	>5% revenue

Exclusion list is reviewed annually by the Ethics Advisory Committee. Thresholds were tightened in FY2025 for fossil fuel power generation (from 15% to 10%).

Net Zero Commitment & Progress

Australian Ethical is a signatory to the Net Zero Asset Managers Initiative with the following targets:

Portfolio Net Zero target	2050
Interim target (2030)	-50% portfolio emissions intensity
Progress (FY2025)	-42% vs 2020 baseline (on track)

Approach: We achieve Net Zero alignment through: (1) exclusion of fossil fuels, (2) positive investment in climate solutions, (3) engagement with portfolio companies on transition plans, and (4) annual portfolio decarbonisation review.

Note: The fund has never held fossil fuel investments due to the Charter. Our Net Zero journey focuses on reducing Scope 3 emissions of portfolio companies and increasing climate solutions allocation.

TCFD Disclosure Summary

Governance: Board-level oversight of climate risk via Risk & Compliance Committee. CIO responsible for climate integration in investment process. Annual TCFD report published since 2019.

Strategy: Climate scenario analysis conducted annually (1.5C, 2C, 3C pathways). Portfolio stress-tested against transition and physical risk scenarios. Energy transition investments identified as growth opportunity.

Risk Management: Climate risk integrated into Ethical Scoring framework. Carbon intensity monitored quarterly. Companies without credible transition plans are candidates for divestment.

Metrics & Targets: Portfolio WACI, fossil fuel exposure (zero), green revenue share, climate solutions allocation. All metrics disclosed in this report and the annual TCFD report.

SDG Alignment

Portfolio alignment with UN Sustainable Development Goals:

SDG 3 (Health)	15% of portfolio
SDG 4 (Education)	6% of portfolio
SDG 7 (Clean Energy)	12% of portfolio
SDG 9 (Innovation)	18% of portfolio
SDG 11 (Sustainable Cities)	8% of portfolio
SDG 13 (Climate Action)	14% of portfolio

Total portfolio with positive SDG alignment: 73%

Independent Assurance

Selected impact metrics in this report have been subject to limited assurance by Deloitte Touche Tohmatsu. The assurance covers: carbon intensity calculations, fossil fuel exposure verification, exclusion compliance, and proxy voting statistics.

Deloitte's assurance opinion (October 2025): 'Nothing has come to our attention that causes us to believe the selected metrics are not prepared, in all material respects, in accordance with the stated methodology.'

Looking Ahead -- FY2026 Priorities

- Deepen TNFD (nature) reporting and set nature-positive targets
- Increase climate solutions allocation to 30% of portfolio
- Expand engagement program to cover Scope 3 emissions at top 50 holdings
- Publish first standalone Human Rights report
- Strengthen Indigenous engagement framework

Australian Ethical remains committed to demonstrating that ethical investing can deliver competitive financial returns while creating measurable positive impact for people and planet.